— issue 015 —

The Morning Oracle

PRICE · ONE COFFEE · MORNING EDITION · 015

✦ WHAT TOMORROW HOLDS, READ THIS MORNING ✦

MORNING EDITION
Wednesday, October 14, 2026
FOUR COLUMNS · TWO PAGES

FIGURE OF THE DAY

56%

of sites handle their visitors' searches poorly (Baymard).

WORD OF THE DAY

ARR

n. — definition on page 2.

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☞ FRONT PAGE · CINEMA

HUGO, RYU, CLARA

Four films open in theaters this Wednesday, October 14.

NOW SHOWING



LES MISÉRABLES

FRED CAVAYÉ · DRAMA, HISTORICAL · 2 H 56

Freed after nineteen years in the galleys, Jean Valjean tries to redeem himself, hunted by Javert.



STREET FIGHTER

KITAO SAKURAI · ACTION, MARTIAL ARTS · 2 H 00

In 1993, Ryu and Ken are pulled back into the arena: Chun-Li recruits them for the World Warriors tournament.



MINOTAURE (MINOTAUR)

ANDREÏ ZVIAGUINTSEV · DRAMA · 2 H 20

Russia, 2022. Gleb, a prosperous businessman, sees his troubles grow until they turn violent.



LE CORSET (THE CORSET)

LOUIS CLICHY · ANIMATION · 1 H 30

In the Beauce region, 11-year-old Christophe must wear a corset. He grows up, discovers music and meets Clara.

TECH IN BRIEF

GITHUB BLOCKS ANTHROPIC KEYS BY DEFAULT

Announced October 13: GitHub now blocks Anthropic API keys at push by default, even on free public repositories. Detectors were also added for Salesforce and Cloudsmith.

THE LAB ANSWERS

The riddle

Sold once, I only pay off when renewed every month. What am I?

Answer: the subscription plan

THE QUOTE

"Good design is as little design as possible."

— Dieter Rams (Vitsœ)

BUSINESS MODEL

ARLO: THE CAMERA PAYS THE RENT, THE SUBSCRIPTION MAKES THE PROFIT

In Q2 2026, 59.7% of this camera maker's revenue came from subscriptions.

Arlo sells connected security cameras, but most of its revenue is no longer hardware. In its August 6, 2026 release (quarter ended June 28), the company reports $155.9 million in revenue: $93.0 million from subscriptions and services and $62.9 million from products.

The key is margin: 81.1% gross margin (GAAP) on subscriptions, against 48.2% overall. The company has 6.3 million paid accounts (+23.2%) and annual recurring revenue (ARR) of $365 million (+15.6%).

The mechanism recalls razors and blades: the device gets the customer in, and the service comes back every month.

TAKEAWAY

A physical product can open the door to a recurring service: what counts is what a paying account earns over time.

TODAY'S PET PEEVE

SEARCHING A SITE AND FINDING NOTHING

According to Baymard, 56% of e-commerce sites handle what people come looking for poorly.

In an October 2, 2026 article, the Baymard Institute notes that 56% of sites fail to adequately support users' search needs. Its advice: a real field with a visible button, keyword suggestions (not only products), the query kept on the results page.

For a few hundred products, an icon that expands into a field can be enough; for a catalog of 10,000 items, an always-visible bar with suggestions is justified.

BUSINESS LEAD

An internal-search audit for independent shops: test 50 real queries (typos, synonyms, references), deliver an illustrated report of failures and a fix. Competition: Baymard already runs UX audits; the angle is the small merchant, at a flat fee.

DESIGN & UX

A PRODUCT COMPARISON TOOL, $16 MILLION CLAIMED

A clothing brand credits this gain to a single tool: comparing items right in the list.

On October 7, 2026, Baymard published a testimonial from a premium clothing brand with technical lines, which says it gained $16 million in revenue across its site and app. The change: a product comparison tool on listing pages, recommended by a UX audit (guideline no. 495).

Caution: the figure is reported by the client, with no period or method to isolate the tool's effect, and the text is published by a company that sells these audits. The title speaks of a "single" insight, while the text mentions a full-site audit.

TRY IT

Take two similar products from your shop: if a stranger opens three tabs to choose, comparison is missing.

TECH

LFM2.5-24B-A2B: A LOCAL AGENT THAT ACTIVATES ONLY 2 BILLION PARAMETERS

Liquid AI publishes an open model built to run on a laptop.

On October 13, Liquid AI published LFM2.5-24B-A2B on Hugging Face. The model has 24 billion parameters but activates only 2 billion for each token produced (a "mixture of experts" architecture). It reasons before answering and accepts 131,000 tokens of context.

Announced speeds: 184 tokens per second on an Apple M5 Max, 114 on a Ryzen AI Max+ 395. On AutomationBench it scores 27.69 against 8.72 for the best competitor cited.

But it lags on code: 51.0 on SWE-Bench Verified against 66.2 for a competitor. The license is not specified: check before any commercial use.

BUSINESS ANGLE

An agent that runs on the customer's machine avoids sending data to a cloud: an argument for sensitive trades (health, law, accounting).

THE WORD

ARR, *n.* : Short for *annual recurring revenue*: what current subscriptions would bring in over a year. At Arlo it reaches $365 million (p. 2).

READER'S NOTEBOOK — SOMETHING THAT BUGGED YOU TODAY, AN IDEA:

The Morning Oracle — morning paper written and typeset by Claude for 1977 Éditions, from an idea by Michael Misran.
Sources: allocine.fr · sec.gov · baymard.com · huggingface.co · github.blog